



THE UNIVERSITY OF
MELBOURNE

Marketing Research

Week 3



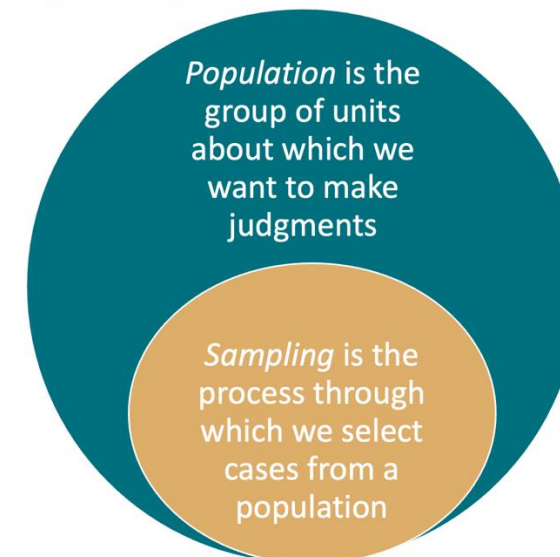
Recap

1. Data

- Primary and Secondary Data
- Quantitative and Qualitative Data
- Unit of Analysis, Dependence of Observations, Dependent and Independent Variables
- Measurement Scaling
- Reliability and Validity
- The Population and Sampling, Sample Sizes

2. The literature review

	Secondary data	Primary data
Advantages	• Tends to be cheaper • Sample sizes tend to be greater • Tend to have more authority • Are usually quick to access • Are easier to compare to other research using the same data • Are sometimes more accurate	• Are recent • Are specific for the purpose • Are proprietary
Disadvantages	• May be outdated • May not fully fit the problem • There may be hidden errors in the data • Usually contain only factual data • No control over data collection • May not be reported in the required form	• Are usually more expensive • Take longer to collect

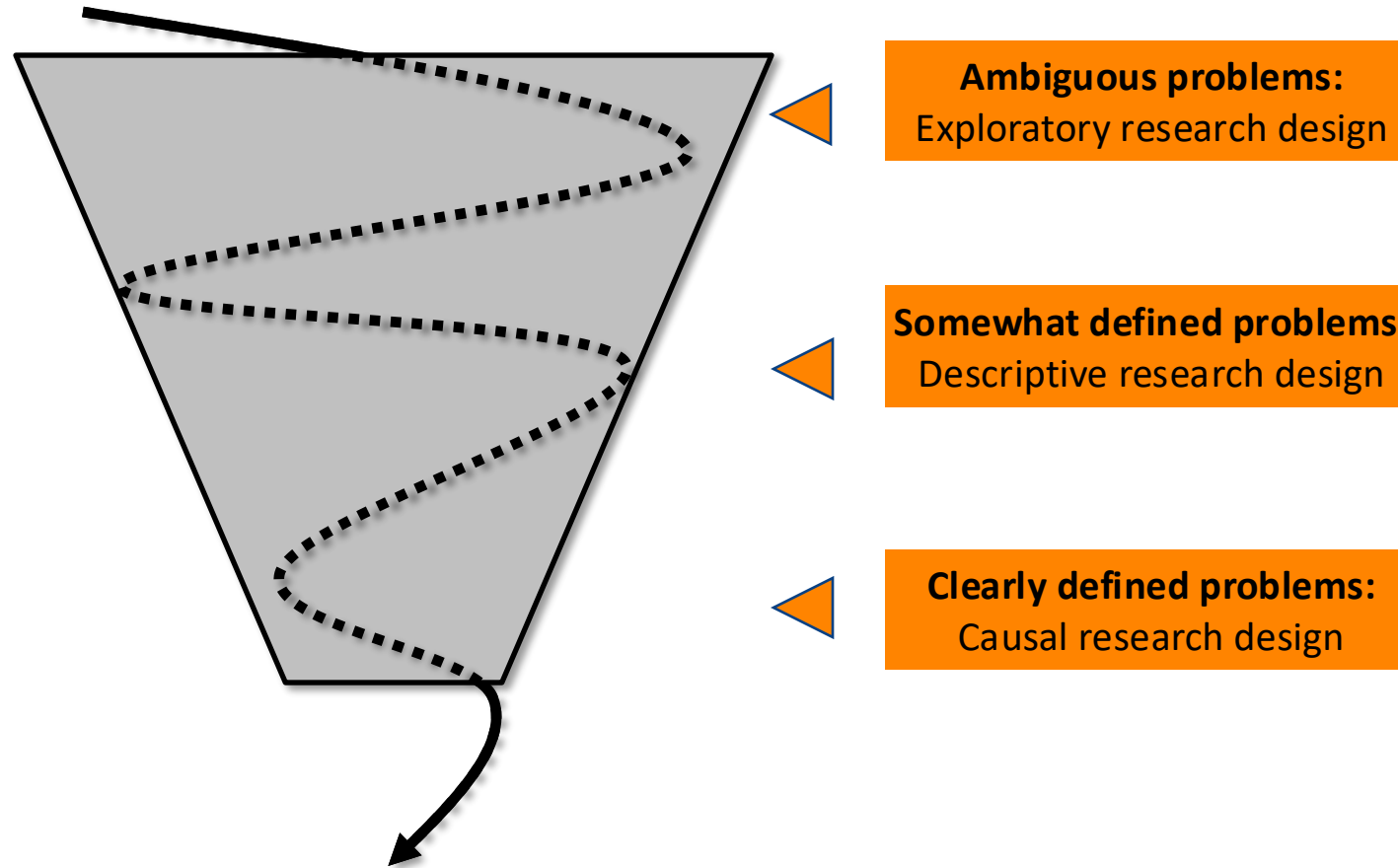




Topics for Today

1. Introduction to research designs
2. Exploratory research: interviews, focus groups and observations
3. Qualitative data analysis
4. Workshop

Determine the Research Design



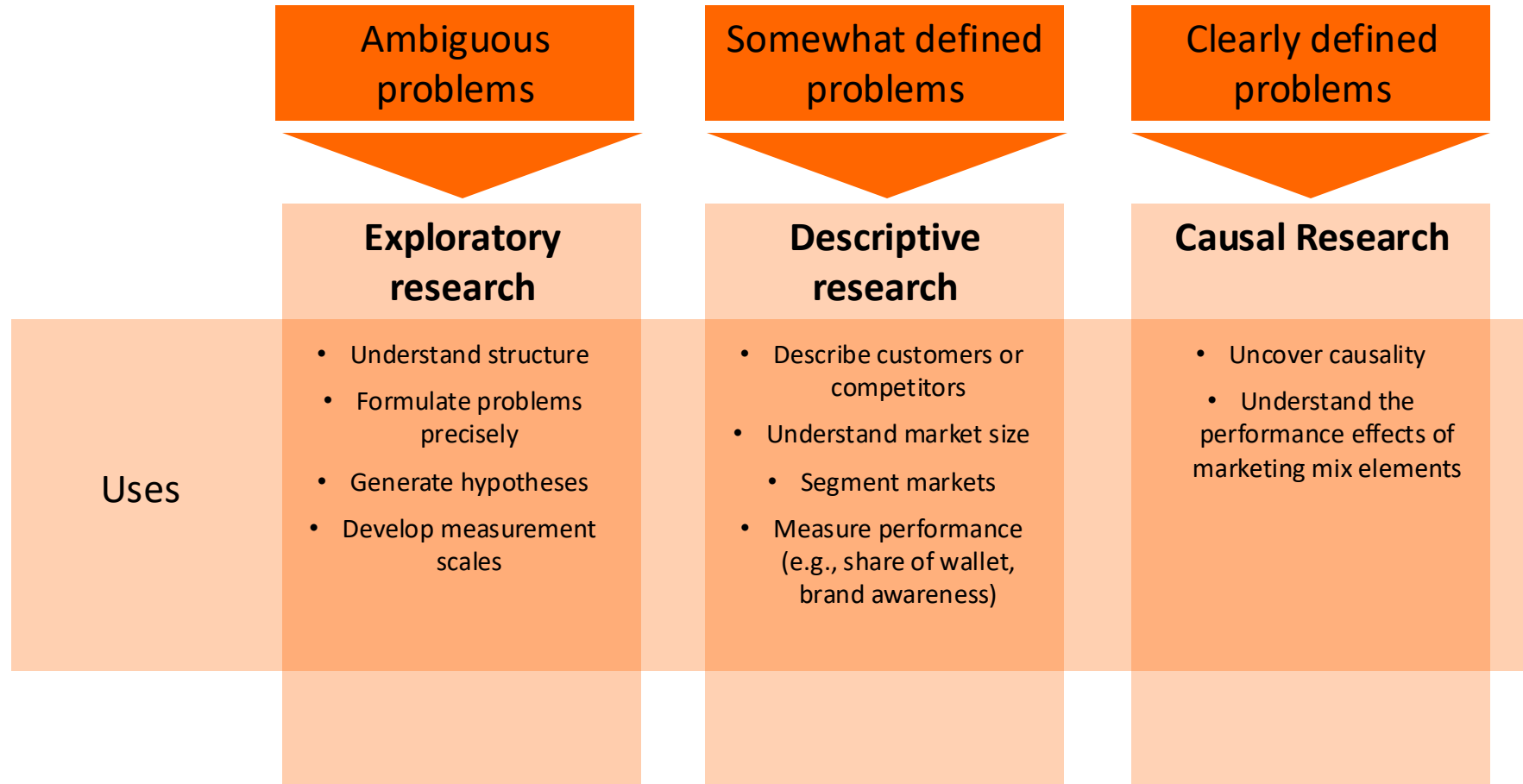
Exercise

- Scenario 1: Should we offer the new Apple Macbook Air in four or in five colors?
- Scenario 2: What might be good markets for Australian sparkling Shiraz?
- Scenario 3: Which features (e.g., display quality, battery life, app ecosystem) are important to potential Apple Vision Pro buyers?

Options:

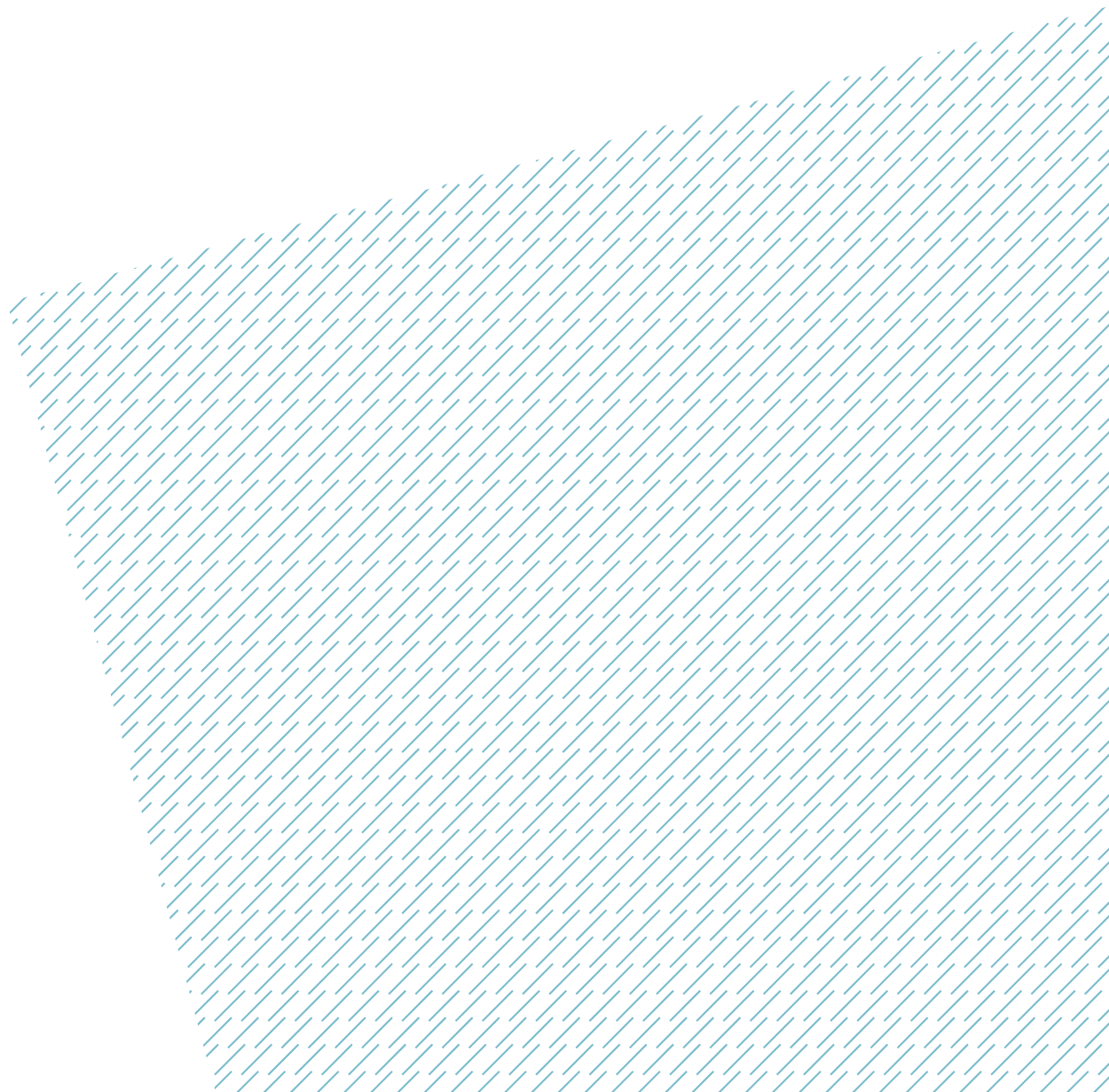
- An ambiguous problem
- A somewhat defined problem
- A clearly defined problem

Determine the Research Design





Exploratory Research





Exploratory research

Exploratory research serves the purposes of clarifying. **Qualitative research** is mostly used to gain an understanding of why certain things happen. It can be used in an exploratory context by defining problems in more detail, or by developing hypotheses to be tested in subsequent research.

One can collect qualitative data by explicitly informing the participants that you are doing research (**directly observed qualitative data**), or you can simply observe the participants' behavior without them being explicitly aware of the research goals (**indirectly observed qualitative data**).

This can be done in several ways including:

- Focus groups
- Depth interviews
- Projective techniques
- Observational studies
- Ethnographies



Focus groups

Are interviews conducted among a number of respondents at the same time and led by a *moderator*.

The key is to encourage discussion in the group. One person's response will spark comments from other members.

Format of a focus group:

- 6-12 pre-screened subjects/participants
- A moderator leads the discussion
- Recorded (possibly observed live for training)
- Whenever possible, select a group of homogenous participants instead of heterogeneous participants
- A focus group guide is similar to an interview guide. See a sample focus group guide on LMS.

Focus groups

Focus groups used to address issues such as:

- Obtain impressions of a new product
- Generate new ideas for a product design
- Develop creative concepts for a promotional campaign
- Test consumer reactions to marketing programs

“When you think of plant-based food,
what do you think of?”





Depth interviews

Depth interviews are qualitative conversations with participants about a specific issue.

Steps for in-depth interviews:

1. Design an interview guide
2. Provide a comfortable environment
3. Allow the informants time to think and probe when needed
4. Summarize informants' words to ensure understanding
5. Ask for clarification if not clear
6. Avoid evaluative comments or leading questions
7. Let the informant do the talking



Depth interviews

Interview Guide (see the LMS for a sample)

1. Introduction
2. Consent form
3. Main interview
4. What topics to cover and in what sequence
5. What questions to ask under each topic and in what sequence
6. How to phrase the questions
7. Prepare questions for different possible scenarios
8. Debrief (and token gift)



Depth interviews

Please also see Arsel, Z. (2017). Asking questions with reflexive focus: A tutorial on designing and conducting interviews. *Journal of Consumer Research*, 44(4), 939-948. (this on the LMS).

She suggests a four-step iterative guide for interview design:

- Step 1: settle with an epistemological tradition (see paper; effectively if you seek experiences, patterns, or if both interviewer and interviewee can contribute)
- Step 2: prepare an interview protocol (what to say)
- Step 3: conduct the interview
- Step 4: iterate

Basic Qualitative Research

	Focus Groups	Depth Interviews
Group interactions	Group interaction is present. This may stimulate new thoughts from respondents.	There is no group interaction. Therefore, stimulation for new ideas from respondents comes from interviewer.
Group/ peer pressure	Group pressure and stimulation may clarify and challenge thinking. Peer pressure and role playing.	In the absence of group pressure, the thinking of respondents is not challenged. With one respondent, role playing is minimized and there is no peer pressure.
Respondent competition	Respondents compete with one another for time to talk. There is less time to obtain in-depth details from each participant.	The individual is alone with the interviewer and can express thoughts in a non-competitive environment. There is more time to obtain detailed information.
Peer Influence	Responses in a group may be biased by opinions of other group members.	With one respondent, there is no potential for influences from other respondents.

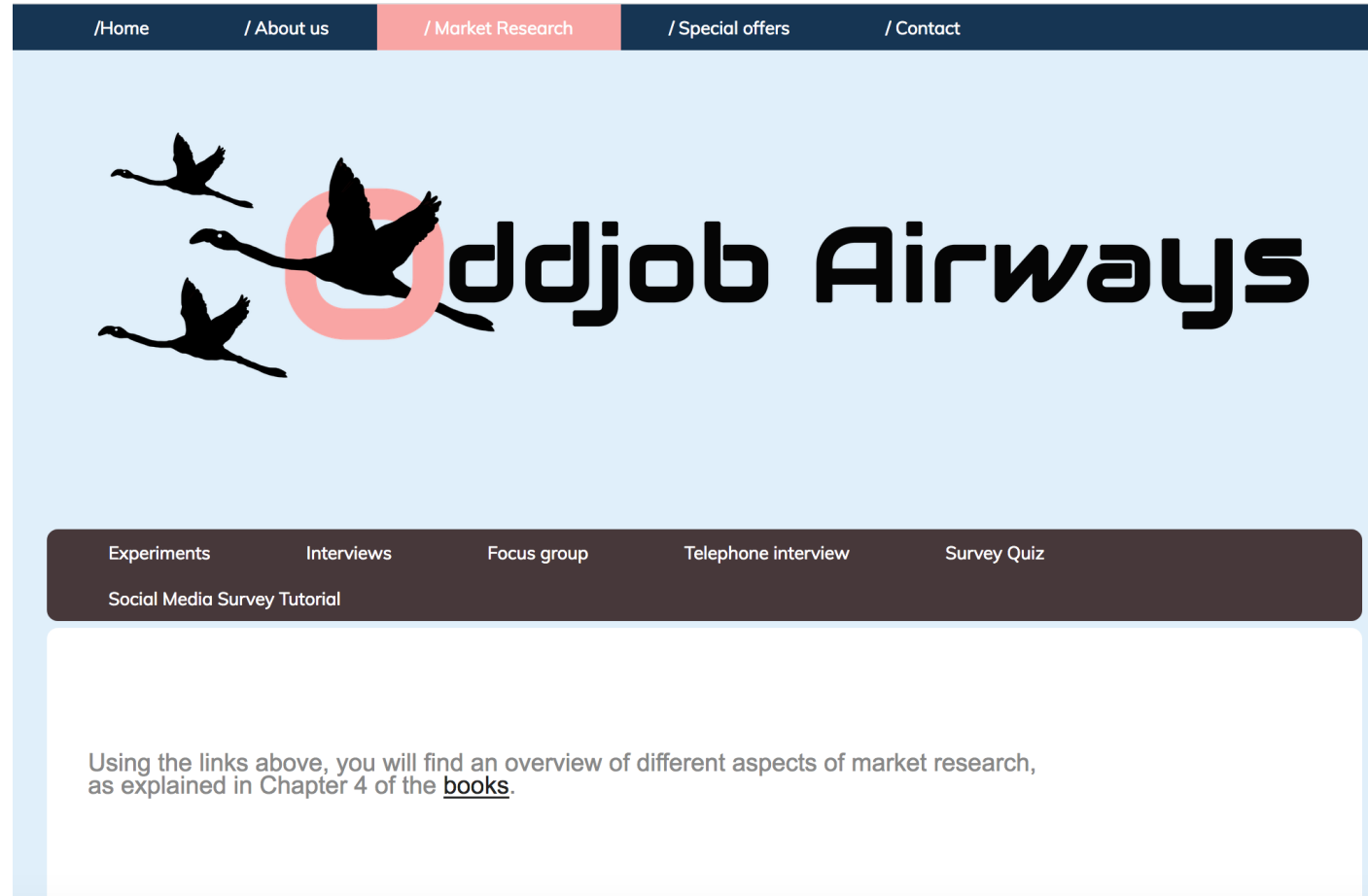
Basic Qualitative Research

	Focus Groups	Depth Interviews
Subject sensitivity	If the subject is sensitive, respondents may be hesitant to talk freely in the presence of several other people.	If the subject is sensitive, respondents may be more likely to talk.
Stimuli	The volume of stimulus materials that can be used is somewhat limited.	A fairly large amount of stimulus material can be used.
Interviewer schedule	It may be difficult to assemble 8 or 10 respondents if they are a difficult type to recruit (such as very busy executives).	Individual interviews are easier to schedule.



Basic Qualitative Research

Go to www.oddjobairways.com/market-research/ and take a look at the videos on Interviews and focus groups!





Projective techniques

Projective techniques work by providing a participant with a stimulus and gauging his or her response. Projective techniques help uncover true feelings or opinions about a topic.

Main techniques

- Use vague, ambiguous, unstructured stimuli for informants to project their personality, attitude, or opinions
- Talk about what “other people” would feel, think or do
- Use metaphors and analogies: explain complex or new topics by using a familiar topic
- Main methods: word association, completion techniques, construction technique, role playing, ZMET

Projective techniques

Projective technique example



If you were to describe RACV as a person, how would you describe it?

- “Mature, wealthy, they may wear semi-casual clothes”
- “I guess something in government, mid-level...someone with private health, general business clothes (and) a mid-range car”
- “Dependable, reliable, in their 40’s... (driving) a Volvo...eating lunch on a park bench”
- “I think they would be ...middle aged...married for 30 years and is middle class. Would perhaps work in an office, not much exposure to practical industries like the automotive industry. (They would wear) sensible clothes for the weather, a button up plaid shirt and a windbreaker”



Projective techniques

Projective technique example

Zaltman Metaphor Elicitation Technique (ZMET)

Patented market research tool

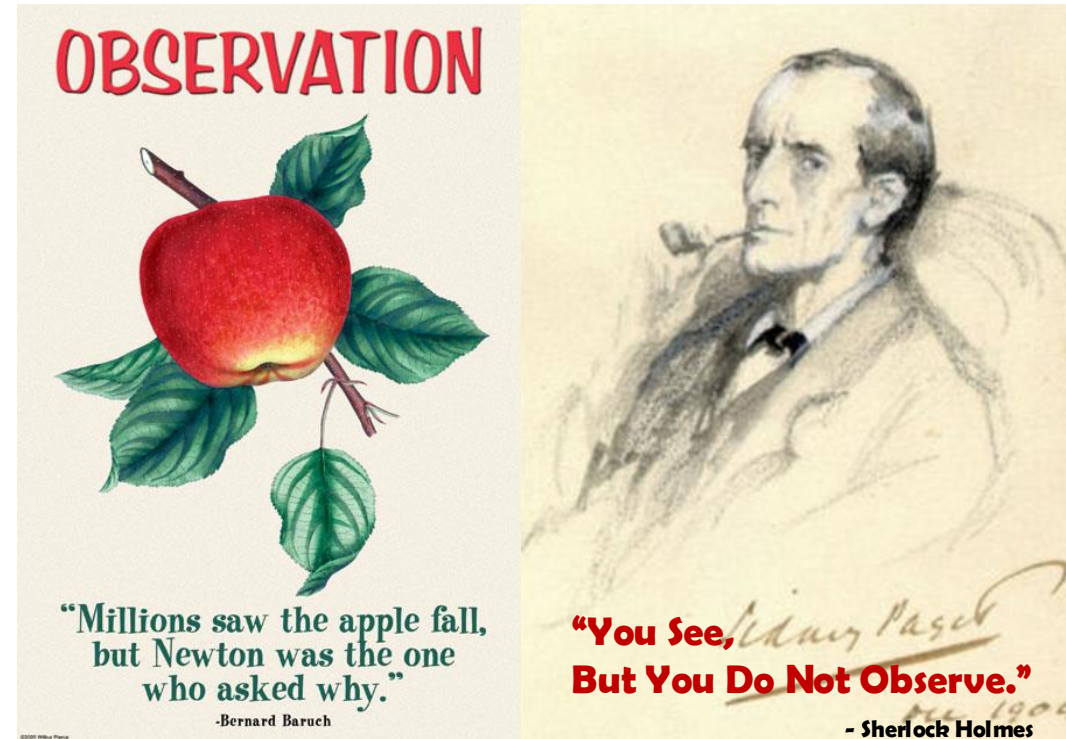
Developed by Dr. Gerald Zaltman at the Harvard Business School



ZMET Intro

Also see <https://www.youtube.com/watch?v=WgivS7Zh4Vs>

Observational studies



Observational studies

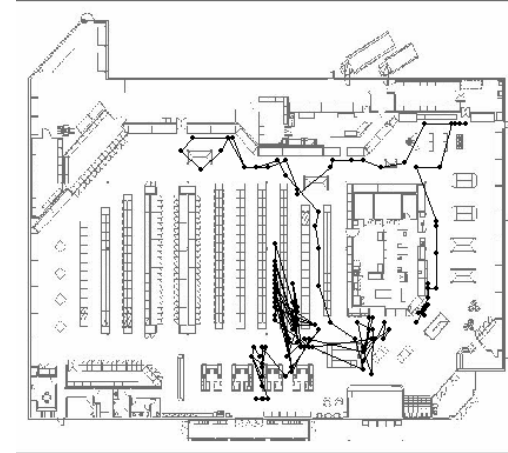
Observational studies help researchers understanding what people are doing rather than why they are doing it.

Most observational studies use video recording equipment, or trained researchers who observe what people do . Others use RFID chips to trace consumers' movement

Special type: **Ethnographies**



The EyeSee mannequin



Supermarket shopping paths (Larson et al. 2005)

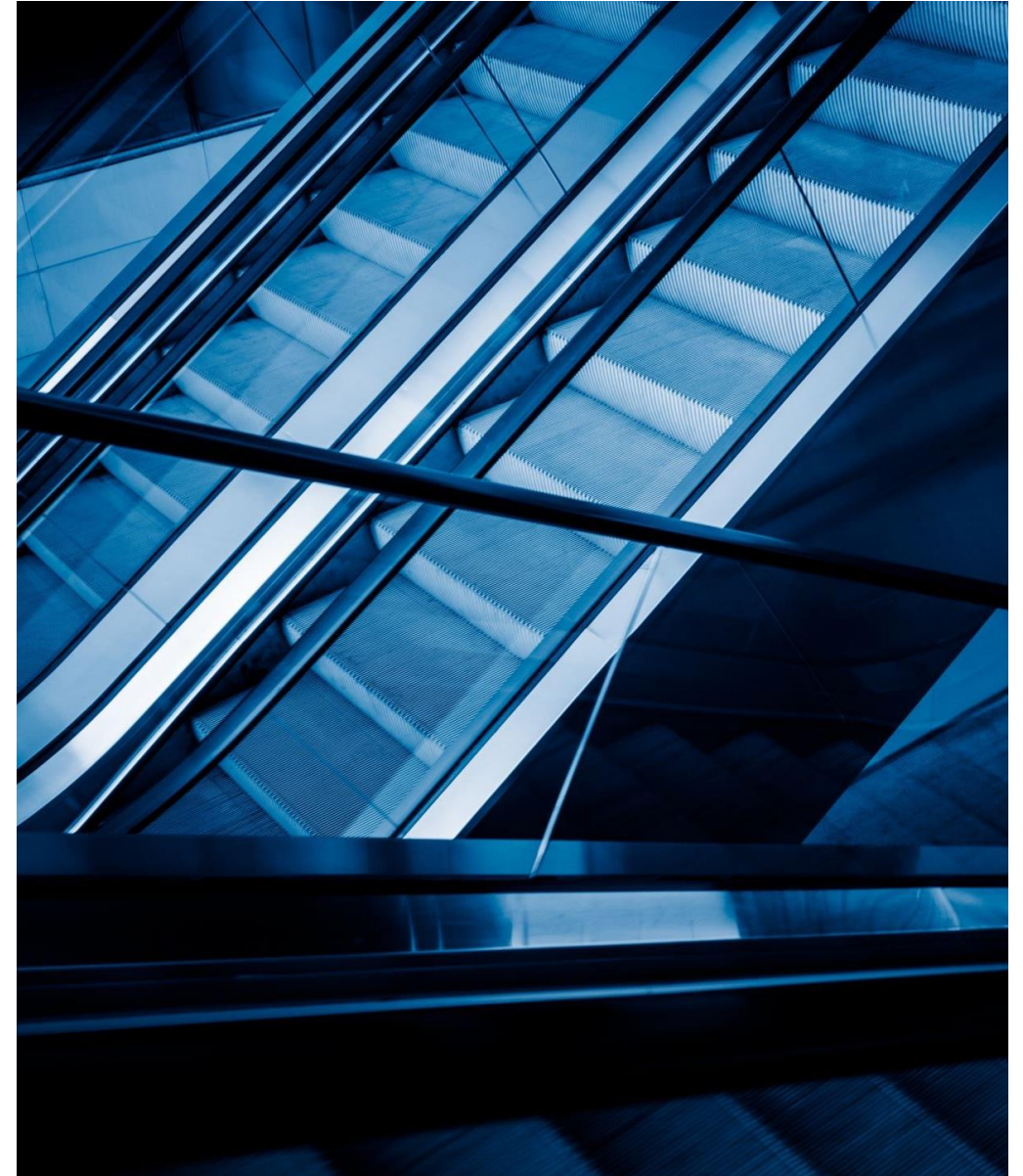
Observational studies

Reasons for Observation

- Consumers cannot accurately recall their behavior
- Consumers are not willing to admit their behavior
- Consumers often make spontaneous decisions

Conditions for Observation

- The information needed is observable
- The event must occur during a short time interval
- The observed behavior need to occur in a public setting





Observational studies

- Physical action (Shopping patterns or driving habits)
- Expressive behaviors (tone of voice, facial expression, body language)
- Verbal behaviors (statements made by customers waiting in line)
- Temporal behaviors (how much time do consumers spend in a store)
- Spatial relationships and locations (how closely do consumers stand next to each other in the store)
- Physical objects (which products/brands are purchased)



Observational studies

Eight important features of observation research

- Your presence will influence events
- The first thing you see will be most memorable
- You will have an emotional response
- You will exaggerate the importance of unique events
- You cannot assume the events you observe are similar to those you don't see
- You will succumb to confirmation bias
- You are always missing something important
- You will change your own focus over time

Observational studies

Structured vs. Unstructured Observation

Observe pre-selected events vs. random events



☐ Individual tomato picked up and handled ____	75%
☐ Individual tomato squeezed ____	55%
☐ Prepackaged tomato picked up and handled ____	35%
☐ Prepackaged tomato squeezed ____	40%
☐ Purchase after squeeze ____	60%

[illegible][illegible]

Observational studies - coding

A	B	C	D	E	F	G
	P1	P2	P3	P4	P5	P6
User is annoyed by the slow login process						
Uses the "Calculate" button						
Says something positive about the calculator feature unprompted						
Asks for help with finding the "Management" page						
Expected the process of adding a new contact to be much quicker						
Discovered the voice feature						
Understands the meaning of submitting a lead request						
Surprised (in a bad way) by the results page of the lead search						
The user experiences flow						
Double-clicks icons (rather than single-clicks)						
Confused by the last paragraph in the Lead page						
Says that the Reports page has a clean look						
Keep clicking the "visit now" text in the home page						
Attempted submitting a lead request without filling in 2 mandatory fields						
Thinks the product is relatively slow						
Didn't notice the message bar						
Complains about font size						



Ethnographies

Ethnography is a type of qualitative research in which the researcher interacts with consumers over a period to observe and question them.

Project moonraker (Volkswagen):

22 Germans and 1 American aim “to draw up a vehicle and business concept for the American market that would boost volume, earnings and brand reputation”

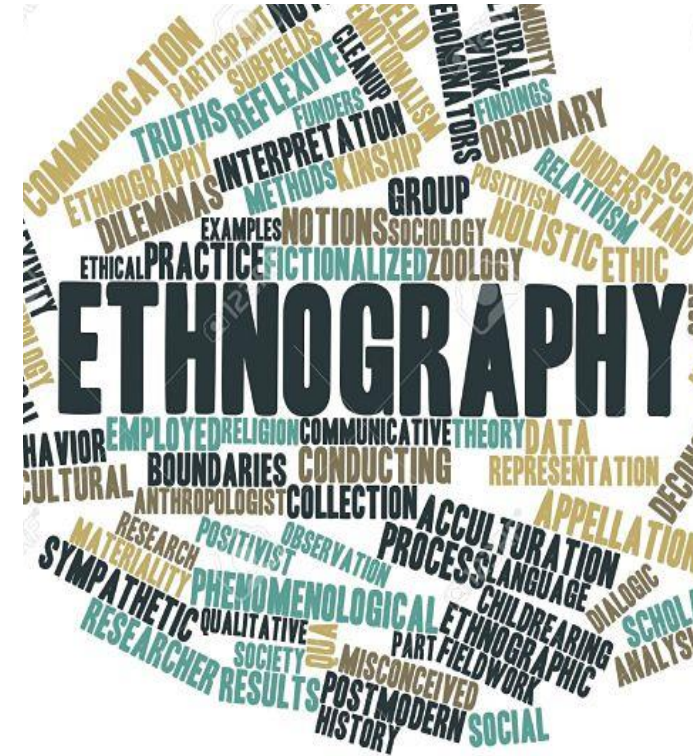
What do US customers want?

- The car is a living space – cupholders, large cars
- Cars need to be cool, literally, so large capacity air conditioning
- But need to maintain VW quality feel
- US built matters

Ethnographies

Key steps

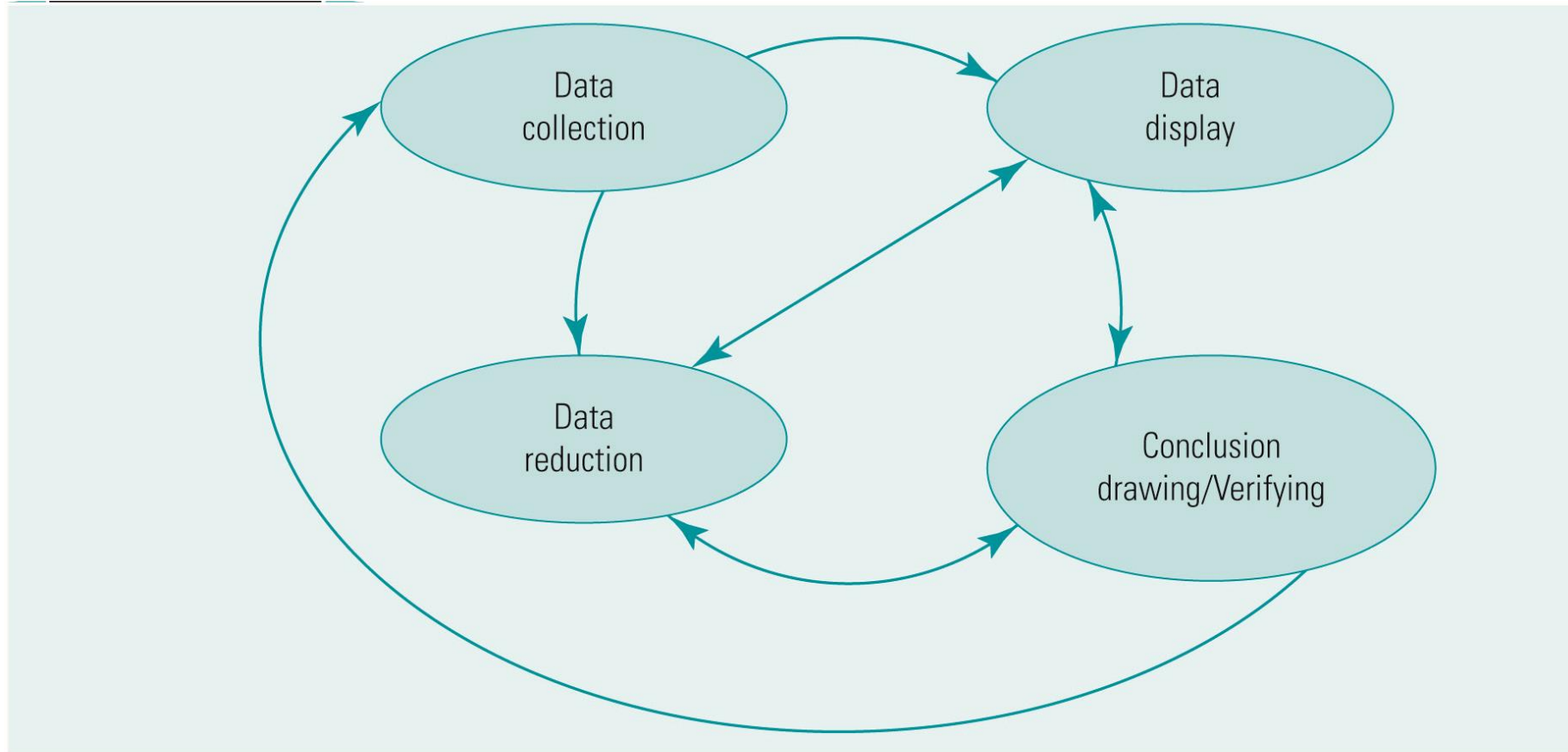
1. How to obtain participants?
 - Social networks
 - Incentives
2. What are the key tasks for the participants?
3. How to analyse data?
 - Structured data: frequency, mean
 - Unstructured data: theme analysis + observation analysis





Qualitative Data Analysis

Qualitative data analysis



Source: Matthew B. Miles & A. Michael Huberman, *Qualitative Data Analysis: An Expanded Sourcebook*, Sage Publications, Thousand Oaks, CA, 1994, p. 12.



Qualitative data analysis

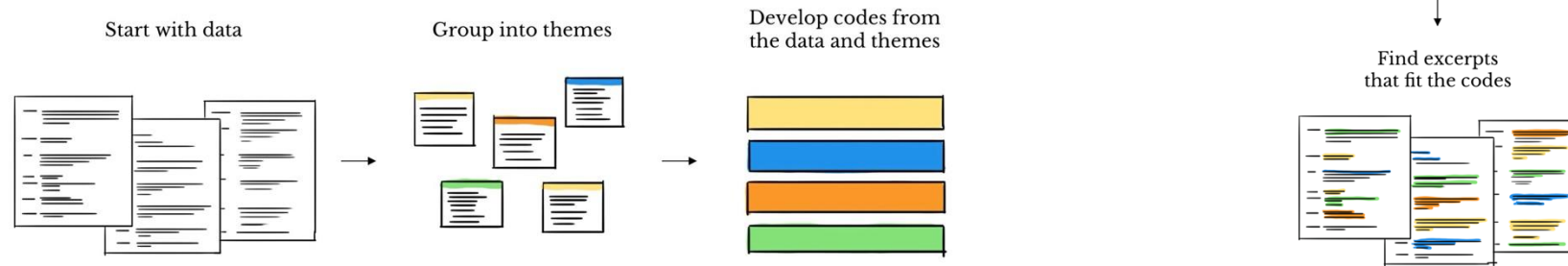
Steps:

1. Data collection
2. Data reduction
3. Data display
4. Conclusion drawing and verifying

Qualitative data analysis – data reduction

Categorization and coding

Can be done inductively (data to codes) or deductively (codes to data)



Categorise sections of the transcript and label them with names or code numbers

Categories can be pre-defined or developed inductively in the analysis

Popular manual software : Nvivo and ATLAS

Can be done automatically: LDA in R for example

Qualitative data analysis – data reduction

Theme	Advantages	Quotation
Customer communication	1. Passive tracking of consumer reactions. 2. Optimise response options and make them more prompt.	1. “Many companies already implement social listening to quickly learn about any criticisms or appraisals on social media”. 2. “The inability to respond to the consumers addressing your organisation in the public domain within several hours may already be recognised as ignoring them or having poor customer service quality”.
Customer servicing	Instantly identify loyal consumers returning with new orders.	“It may seem like a small thing but imagine making a second booking at the same hotel you stayed at with your family last year and receiving a reply, “John, thank you for choosing us again” or a Christmas greeting wishing all the best to your wife and two children”.
Data processing	Track all consumer operations longitudinally.	“Additionally, you may track the whole consumer journey rather than just the moment of the purchase to analyse your marketing effectiveness”.
Performance monitoring	Reliable productivity tracking.	“This also allows them to track their productivity and really know when they are performing well”.
Services personalisation	1. Better consumer experience. 2. Upselling.	1. “This personalisation is highly convenient for making every consumer feel valued”. 2. “At the individual level, personalisation supports upselling. If the system recognises the ‘business-type reservation’ on the basis of customer data, a live customer support specialist may offer additional services such as office space, a business lounge for work or photocopying and translation”.
Predictive analytics	Capability to optimise dynamic pricing and room management.	“This is especially important for hotels that need to use dynamic pricing and have to close some rooms for refurbishment or basic repairs”.

Qualitative data analysis – data display

- Provide a profile table of the informants (demographic factors or selection criteria)
- For each research question, list themes, definitions, and exemplar quotes
- If applicable, use diagrams, models, or consensus maps to understand the relationships between different themes.

Table 6: Demographic Profile 1 - Traveler Interview groups

<i>Participant</i>	<i>Gender</i>	<i>Age</i>	<i>Occupation</i>	<i>Category</i>	<i>Travel For</i>	<i>Travel with</i>	<i>Travel frequency</i>
1	Female	26	Full-time career	Solo	Work/Visit friends & Family	Alone	Every 7-8 weeks.
2	Female	61	Retired/Part-time	Family	Pleasure/Experiences/Relax	Partner/Daughter/Sister	Every 7-8 weeks.
3	Male	29	Full-time career	Business	Work	Alone	Once a month
4	Male & Female	35/37	Both full-time career	Couple	Experiences/Visit family	Partner	1 - 2 times a year
5	Male	24	Full-time career/ Part-time student	Friend	Experiences/Holiday	Close friends	1 - 2 times a year



Qualitative data analysis – conclusion drawing and verification

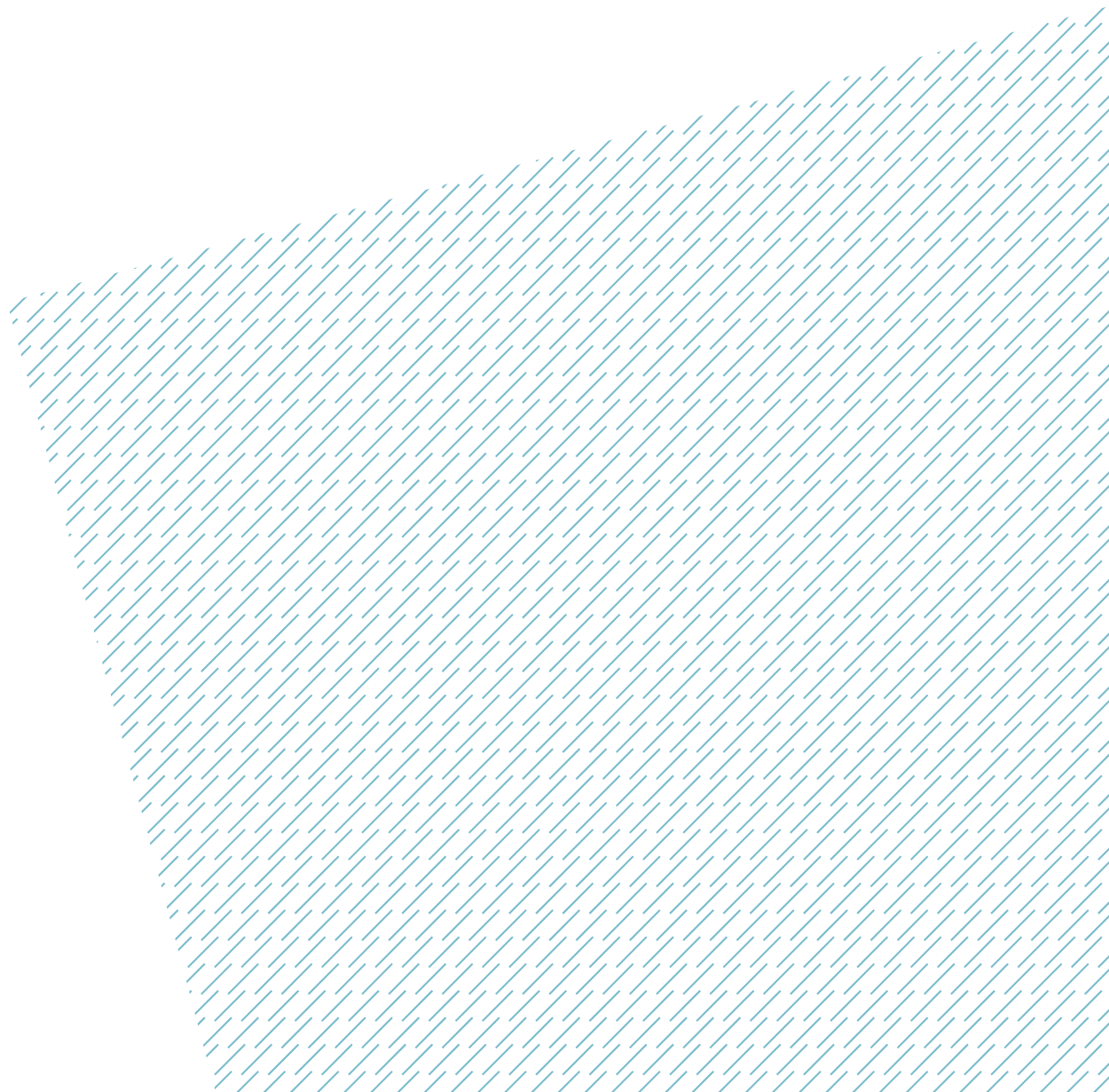
Conclusion drawing/Verification

Persuade audiences that the research findings of an inquiry are reliable and valid by

- Using multiple coders (can calculate consistency)
- Clear instructions
- The usefulness of the findings
- Reputation
- Peer review from topic area experts



Appendix





Basic Qualitative Research

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